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Competitive landscape briefing on Famous Brands in South Africa [1]

Executive summary

Facts (verifiable)
Statistics South Africa [2] 's "food and beverages" survey (restaurants and coffee shops; takeaway and fast-food outlets; catering services) shows a structurally uneven trading environment: takeaway and fast-food outlets materially outperformed restaurants and coffee shops through 2025, while overall growth fluctuated. For July–September 2025 (latest quarter in the sources reviewed), total real (constant 2019 prices) food-and-beverage income increased 4.1% year-on-year, with takeaway and fast-food outlets the largest positive contributor (9.4% year-on-year). [3] This pattern is consistent with a "trade-down / convenience" cycle in which value-led QSR tends to take share of occasions from sit-down casual dining.

Famous Brands' disclosed domestic restaurant base is large: 2,504 "leading brand" restaurants in South Africa plus 122 "signature brand" restaurants in South Africa in FY2025. [4] The group is also meaningfully vertically integrated through its manufacturing and logistics activities; in FY2025 it disclosed Supply Chain segment revenues of R3.371 billion (manufacturing) and R5.226 billion (logistics) and discussed how the reduction in load shedding for much of the year reduced diesel costs (partially offset by Eskom electricity price increases). [5] In other words, Famous Brands competes not only on brand portfolio and franchising capability but also on system economics via procurement, production yields, distribution efficiency, and energy resilience.

The competitive set remains "scale-heavy". For context on single-brand domestic footprint (where disclosed in credible sources): Yum! Brands [6] ' own unit table shows 1,157 KFC units in South Africa (51 company, 1,106 franchise/license) for 2024. [7] McDonald's Corporation [8] ' market schedule shows 401 restaurants in South Africa at year-end 2024 (up from 377 in 2023). [9] Spur Corporation [10] declared 701 outlets across South Africa and 14 countries at 30 June 2024 and provides brand-by-brand restaurant counts (including Spur, Panarottis, RocoMamas, and Doppio Zero). [11]

Delivery economics are both a channel opportunity and a margin risk. The Competition Commission [12] 's Online Intermediation Platforms Market Inquiry (OIPMI) material on food delivery concludes that Uber Eats [13] and Mr D [14] collectively hold more than 90% market share in food delivery platforms and focuses on commission fee structures, consumer transparency, and platform practices. [15] This matters because Famous Brands is a large "business user" of delivery platforms (directly and via franchisees) and, separately, competes against delivery-led meal solutions for consumer occasions.

Inferences (evidence-led, commercial)
Sector attractiveness for a PE owner is "selectively good" rather than uniformly good: (1) demand is pressured but not collapsing; (2) share-of-stomach is shifting toward value and convenience; (3) platform power and household constraints compress margins unless the operator has scale, supply-chain advantage, and strong unit economics. The strongest basis for a long-term thesis is therefore: **own the scaled franchisor with system levers** (portfolio, pricing architecture, procurement,

production yields, logistics density, digital ordering, and franchisee performance management) rather than over-indexing on any single brand.

For Famous Brands, the portfolio composition looks strategically aligned to a value/convenience cycle (pizza, burgers, family QSR) but the "signature" casual dining set appears more vulnerable to discretionary spend compression and overcapacity dynamics. The FY2025 disclosure shows "signature brands" declined in store count (net closures), and like-for-like sales were negative, while "leading brands" grew and remained slightly positive on like-for-like sales. [4]

Most important PE investment implications (decision-oriented)

1) **Underwrite franchisee economics as the true constraint**: the market is growing unevenly; sustained promotional intensity, delivery commissions, and wage inflation will flow through to franchisee margins and closure risk. Value creation levers (menu engineering, labour productivity, delivery channel mix, procurement) must be assessed brand-by-brand rather than at group level. (Regulatory context increases execution friction on labour and transformation.) [16]
2) **Delivery is not "free growth"**: OIPMI scrutiny signals a policy direction toward transparency and potentially fee remedies; simultaneously, platforms are investing to deepen supply (including dark kitchens), which increases competitive intensity for meal occasions. Famous Brands' own delivery hub and digital initiatives can be viewed as a partially defensive capex programme to reclaim customer data, reduce aggregator dependence, and improve fulfilment economics. [17]
3) **Energy and input volatility remain structural, even with 2024's load-shedding improvement**: reduced load shedding in 2024 is a tailwind, but electricity tariffs and local utility reliability remain a cost and continuity risk for restaurants and for vertically integrated manufacturing/logistics. Famous Brands explicitly links profitability to load shedding and to Eskom tariff increases. [18]
4) **Regulatory "public interest" considerations are investment-critical**: the Burger King PE transaction shows that ownership and empowerment considerations can be decisive for deal approval, with conditions including capex commitments, outlet expansion targets, employee ownership and local procurement. This history materially informs take-private feasibility, structure and value-creation timelines for any PE buyer in food service. [19]
5) **Macro is a near-term headwind, but the rate cycle has turned supportive**: repo is 6.75% as at 13 March 2026 (per SARB) and inflation has eased (January 2026 headline 3.5%, food inflation 4.4%). This is directionally supportive for discretionary spend, but it does not remove affordability stress (especially once wage and electricity increases are considered). [20]

Sector structure

Facts (verifiable)

Market scope and segmentation (official definition). Stats SA's "food and beverages" survey explicitly covers tax-registered private and public enterprises mainly providing food and beverages for immediate consumption, split into: restaurants and coffee shops; takeaway and fast-food outlets; catering services. [3]

Recent real growth is being driven by takeaway/QSR more than sit-down. For July–September 2025 at constant 2019 prices, total food-and-beverage income grew 4.1% year-on-year; takeaway and fast-food outlets grew 9.4% year-on-year and were the largest positive contributor, while restaurants and coffee shops increased only 1.4% year-on-year. [3]

Outlet footprint is scale-led and concentrated in a few groups. Famous Brands reports 2,504 leading-brand restaurants in South Africa and 122 signature-brand restaurants in South Africa. [4] Large peers that disclose scale include: Yum! Brands' KFC at 1,157 units in South Africa (2024). [7]

McDonald's at 401 restaurants in South Africa (year-end 2024). [9] Spur's 701 outlets across South Africa and 14 countries at 30 June 2024, with detailed brand counts. [11]

Operating conditions have turned from "operational crisis" to "high-cost normalisation". The energy constraint improved materially in 2024: CSIR reports actual load shedding decreased by roughly 76% in 2024 versus 2023 (calendar-year comparison), driven by improved energy availability factors (and lower demand). [21] However, electricity tariffs rose sharply: the 2024/25 Eskom tariff booklet states a 12.72% increase for local authority tariff charges (1 July 2024 to 30 June 2025) and 12.74% for Eskom direct customers (1 April 2024 to 31 March 2025) excluding the affordability subsidy charge. [22]

Labour cost pressure is rising again. The 2026 National Minimum Wage is published at R30.23 per ordinary hour worked in the Government Gazette. [23] This is a direct cost pressure for corporate-owned stores and an indirect pressure for franchisee viability (wage levels affect store staffing models and service levels).

Inferences (evidence-led, commercial)
The most relevant structural pattern for Famous Brands is not "restaurant sector growth" in aggregate; it is the **reallocation of eating occasions** toward (1) takeaway, (2) delivery, and (3) grocery/convenience substitutes. The Stats SA split strongly supports this view for 2025: takeaway/fast-food is growing substantially faster than restaurants/cafes. [3] This is a tailwind for Famous Brands' large QSR footprint but a headwind for its higher-ticket casual dining exposure (particularly within signature brands, which already show net contraction). [24]

Not verified (explicit gaps)
Stats SA does not publish total outlet counts for the full sector in the release cited; therefore the report uses disclosed chain networks (or clearly labelled third-party estimates where necessary) rather than an official total outlet base.

Competitive map

Facts (verifiable)
QSR chicken and value-led convenience (highest-frequency battleground). The largest chicken/QSR brands operate at national scale, with disclosed unit density (KFC) and rapid expansion strategies (Burger King expansion commitments; Hungry Lion reaching 500 stores). [25] Given Stats SA's takeaway/fast-food outperformance, this segment is the most likely to keep gaining share of consumer occasions in the medium term. [3]

Burgers and grills (global brands plus local incumbents). McDonald's has a disclosed 401 restaurants in South Africa as at year-end 2024, indicating continued rollout. [9] Burger King's PE-backed expansion plan targets at least 150 outlets (from 90) under merger conditions, implying "forced growth" as part of the deal logic. [26] These two brands compete directly with Famous Brands' burger portfolio on site availability, brand salience, value platforms, and delivery accessibility.

Pizza and delivery-centric QSR. Famous Brands' leading brand base includes large pizza exposure (within "leading brands" totals), and the delivery channel is strategically important given platform concentration and consumer convenience. [27] Competitive threats include value-led pizza specialists (often not publicly transparent on store economics) and aggregator-led search ranking (pay-for-position dynamics).

Casual dining and coffee-led occasions (pressure point). Spur is a disclosed, scaled casual dining franchisor with a broad multi-brand portfolio and 701 outlets (including RocoMamas and Doppio Zero). [11] Coffee chains have scaled materially (Vida e Caffè reaching 300 stores in South Africa). [28] These compete with Famous Brands' Mugg & Bean (and other casual formats) for mall footfall, "work-from-anywhere" visits and premium coffee spend.

Platform-led delivery and convenience substitutes (structural disruption). The Competition Commission's OIPMI material concludes Uber Eats and Mr D Food collectively hold more than 90% food delivery market share, with findings focused on commissions, transparency and contract restrictions. [15] In addition, on-demand grocery platforms shape "tonight's meal" substitution: Shoprite states Sixty60 launched in late 2019 and continues to expand across store formats. [29] Takealot describes Mr D as enabling 12,000+ local restaurants to access on-demand delivery to 2 million customers, while Reuters describes Takealot's strategy to broaden Mr D beyond food into convenience. [30]

Inferences (evidence-led, commercial)
The competitive "map" is increasingly defined by **distribution models**, not only brand propositions. Famous Brands competes simultaneously against: (1) scaled QSR brands expanding physical nodes; (2) scaled franchisors consolidating casual dining; and (3) platform/convenience ecosystems competing for the same consumption moments. Given the Commission's focus on platform conduct and fee structures, the delivery channel is likely to remain volatile in economics and rules, increasing the premium on direct digital capability and operational fulfilment. [31]

Not verified (explicit gaps)
Many private competitors do not publish franchisee economics, store-level margins or exact store counts. Where third-party numbers exist (eg press "store count" tables), they should be treated as directional unless independently confirmed.

Competitor profiles

entity["restaurant","KFC","global chicken qsr"] (backed by Yum! Brands) – Positioning is mass-market chicken QSR with heavy penetration across income segments and strong habitual purchase. Scale disclosure is unusually strong: Yum!'s unit table shows **1,157 KFC units in South Africa** (51 company; 1,106 franchise/license) for 2024, implying dense coverage and a high barrier to entry on sites and convenience. [7] Strengths are brand ubiquity, operational playbooks, and a category tailwind if consumers continue trading down into takeaway/fast-food. [3] Weaknesses (relative to a vertically integrated franchisor) may include less integrated local supply-chain control (not assessed here due to limited country-level disclosures) and exposure to chicken input costs and promotional intensity. Relevance to Famous Brands: KFC sets the "value and convenience" benchmark in chicken and competes aggressively for the same delivery and drive-thru occasions.

entity["restaurant","McDonald's","global fast food chain"] (McDonald's Corporation) – Positioning is global burgers/QSR with strong family proposition and high drive-thru potential. Scale: McDonald's market schedule discloses **401 restaurants in South Africa at year-end 2024** (377 in 2023), indicating ongoing rollout. [9] Strengths are global marketing capabilities and process discipline; it is also a strong "value platform" operator in recessive cycles (inference based on global QSR playbooks; not country-quantified here). Weaknesses include limited menu localisation relative to local incumbents and potential vulnerability to chicken-led consumption shifts. Relevance to Famous Brands: direct competitor to Steers (burgers) and to family occasions against Wimpy and casual formats; continued unit growth matters for site competition and wage inflation absorption.

entity["restaurant","Burger King South Africa","sa franchise operations"] (PE ownership context) – Positioning is global flame-grilled burgers with a relatively smaller local base than McDonald's or KFC but explicit "build" ambition. Regulatory documents are investment-critical: the Competition Tribunal's public conditions summary for the PE acquisition sets expansion commitments, including **increasing outlets from 90 to at least 150** and capex of at least R500 million, plus an employee share ownership programme and supplier commitments. [26] Strengths are brand awareness and a PE-backed growth mandate; weaknesses are historically smaller density (site disadvantage), and expansion requires consistent franchisee/corporate economics under high food, labour and energy costs. Relevance to Famous Brands: a credible medium-term share taker in burgers if execution is strong; also a major case study for how public-interest regulation shapes PE strategy. [19]

Restaurant Brands International [32] **(global Burger King owner, contextual)** – Mentioned here only as context because Burger King SA's local disclosure in the sources reviewed is primarily through competition regulation rather than RBI filings. RBI's global scale and brand system matter indirectly: it can raise the "floor" of marketing and operational capability available to the SA franchise system. (No country-specific operational support was verified in the sources reviewed.)

entity["restaurant","Nando's","peri-peri chicken chain"] – Positioning is peri-peri chicken in a fast-casual / casual hybrid (sit-down plus takeaway/delivery). Public, verifiable South Africa store counts were not available in accessible primary disclosures in the sources reviewed; third-party reporting commonly places the network at "~300" outlets, but this should be treated as **Not verified** until confirmed independently. [33] Strengths are strong brand distinctiveness and product differentiation; weaknesses in the current cycle are higher average ticket and greater exposure to discretionary sit-down occasions. Relevance to Famous Brands: competes on chicken occasions and premium quick dining; its resilience is a marker for how much consumers will pay for "better QSR" under low real income growth.

entity["restaurant","Chicken Licken","south african chicken chain"] – Positioning is value-led fried chicken with meaningful township heritage and affordability cues. Verified contemporary outlet counts are limited; third-party franchise/press reporting indicates ~286 outlets at end-2024 (Not verified without independent confirmation). [34] Strengths are value perception and local cultural fit; weaknesses may include lower ability to fund national digital and delivery infrastructure compared with scaled integrated franchisors. Relevance to Famous Brands: key competitor for value-seeking chicken spend; also indicates the intensity of competition at lower price points where Famous Brands' pizza and burger brands must defend.

entity["restaurant","Hungry Lion","african chicken qsr"] – Positioning is aggressive value chicken; its own "about" disclosure states it will open its **500th store in 2025**, signalling rapid expansion. [35] Strengths are expansion momentum and value positioning; weaknesses include potential operational stretch and high sensitivity to chicken input costs and wage inflation. Relevance to Famous Brands: one of the clearest "trade-down winners" if consumers continue shifting to takeaway and low-priced meals, consistent with Stats SA's segment divergence. [3]

Spur Corporation [10] **(including RocoMamas and Doppio Zero)** – Positioning is multi-brand casual dining franchising with some fast-casual exposure. Scale is well disclosed: 701 outlets across South Africa and 14 countries at 30 June 2024; and brand counts including Spur (337 group), Panarottis (128), John Dory's (47), RocoMamas (111), and Doppio Zero (28). [11] Strategic activity is also relevant: Spur acquired a 60% interest in the Doppio Collection in July 2023, reflecting an active consolidation/ portfolio-build strategy in sit-down formats. [11] Strengths are franchising execution and portfolio breadth; weaknesses are higher exposure to discretionary sit-down traffic and mall footfall volatility.

Relevance to Famous Brands: the closest JSE-listed franchised peer in casual dining; also competes directly for franchisee capital, sites, and consumer “family dining” occasions.

entity["restaurant","RocoMamas","burger restaurant chain"] – The brand is strategically relevant even though it sits inside Spur: it competes directly with Famous Brands’ burger formats and with global burger QSR for younger, more premium burger occasions. Spur discloses **111 RocoMamas restaurants** (85 South Africa; 26 international) at 30 June 2024. [11] Strength is brand style/format; weakness is likely higher ticket and delivery-economics exposure (inference) compared with value burger formats.

Doppio Zero [36] – Positioned as casual Italian/café dining and competes with Mugg & Bean-type occasions (coffee + food, sit-down). Spur discloses **28 Doppio Zero restaurants** (27 South Africa; 1 international) at 30 June 2024, post acquisition. [11] Relevance to Famous Brands is primarily in the coffee-led casual set where spending is most discretionary.

Vida e Caffè [37] – Positioning is scaled coffee convenience with multi-format rollout. Official brand messaging states “320+ stores across Africa”, and World Coffee Portal reports Vida e Caffè reached **300 stores in South Africa** as of March 2025. [38] Strengths are frequency, “grab-and-go” capability and smaller format flexibility; weaknesses are cost exposure to coffee commodity inflation (noted as a key inflation driver by Famous Brands’ own supply chain commentary, which implies category-wide pressure). [39] Relevance to Famous Brands: a core competitor for Mugg & Bean and other coffee-led occasions; it also sets service-speed expectations for coffee.

Tashas Group [40] – Positioned as premium casual dining/café; competes at the upper end of “treat” occasions and is a barometer for high-income resilience. Footprint disclosures vary across sources: the company’s own “our story” page states **45 locations in 5 countries**, while Financial Mail reported 42 locations across South Africa, UAE, Saudi Arabia, Bahrain and the UK (January 2026). [41] Strength is premium brand equity; weakness is higher sensitivity to discretionary spend and location concentration. Relevance to Famous Brands: competes with signature brands and premium Mugg & Bean sites; also competes for prime mall/urban nodes.

Uber Eats [13] **and Mr D** [14] **(platform-led competition)** – These platforms both enable Famous Brands’ sales and, structurally, extract margin through commissions and influence consumer choice via ranking and promotions. The Competition Commission’s OIPMI identifies these two as holding **>90% market share** collectively in food delivery and focuses on commission fee practices and transparency remedies. [15] Uber Eats has also pursued supply expansion and market development, including a reported R200 million investment in township restaurant and dark kitchen development (with job creation goals) in partnership with Gauteng [42], explicitly citing Soweto [43] as a target area. [44] Relevance to Famous Brands: channel economics, customer data control, brand presentation and franchisee profitability; a PE owner must treat platform strategy as a core workstream, not an “adjacent”.

Competitive positioning table

Directional ratings only (not audited / not a quantitative scoring model). Ratings reflect a synthesis of disclosed scale, disclosed operating model elements, and regulator evidence on platforms. Where disclosures are thin, the rating should be treated as a hypothesis to validate in diligence.

Dimension	Famous Brands	KFC	McDonald's	Spur Group	Burger King SA	Nando's	Hung L
Scale (SA footprint disclosed)	**Very high** (2,626 SA restaurants disclosed) [4]	**Very high** (1,157 units) [7]	**High** (401 units) [9]	**High** (701 outlets across SA + other countries) [11]	**Medium** (90 baseline in 2021; growth target 150) [26]	**Not verified**	**Hig fa growi** (500 sto milesto
Brand strength (observed)	High (multi-brand portfolio; long-standing incumbents) [48]	Very high	Very high	High (family dining + portfolio) [11]	Medium–high (global brand; smaller density) [26]	High (premium chicken cue)	Mediu h (va bran
Menu breadth / category coverage	**Very high** (pizza, burgers, chicken, coffee, family dining) [48]	Medium (chicken focused)	Medium (burger focused)	High (sit-down + variety) [11]	Medium (burger focused)	Medium (chicken focused)	Mediu (chick focus
Vertical integration / supply chain	**High** (manufacturing + logistics disclosed) [5]	Medium (not assessed locally)	Low–medium (not assessed locally)	Low (franchisor; limited disclosed integration)	Medium (patty plant context in deal) [26]	Not verified	L
Digital and delivery maturity	**High** (delivery hubs + digital ordering assets disclosed) [49]	High (inference; not quantified here)	High (inference; not quantified here)	Medium–high (virtual brands noted) [11]	Medium (evolving)	Medium	Mediu
Franchise model quality / franchisee economics	**Medium–high** (scale + integrated support suggests robustness; verify unit economics) [5]	High (system franchising, inference)	High (system franchising, inference)	Medium–high (disclosed franchised turnover, franchise group model) [11]	Medium (growth commitments imply capital needs) [26]	Not verified	N/ corpora heavy (n verifi
Affordability / value positioning	**High** in leading brands; mixed in signature (portfolio split is key) [4]	Very high	High	Medium	High	Medium	Very h

Dimension	Famous Brands	KFC	McDonald's	Spur Group	Burger King SA	Nando's	Hun L
Apparent resilience under current consumer conditions	**Mixed but defensible** (leading brands up; signature down) [4]	High (category tailwind) [3]	Medium–high	Medium	Medium (depends on execution)	Medium	H (val

Structural headwinds and tailwinds

Headwinds (facts + why they matter to a PE owner)

Electricity tariffs remain inflationary even as load shedding improves. Tariff increases for 2024/25 are ~12.7% in the Eskom tariff booklet. [22] *PE relevance:* compresses store-level margins and raises the value of energy-efficiency capex, backup power rationalisation, and procurement leverage (especially for vertically integrated manufacturers). Famous Brands' own disclosure links load shedding and Eskom price increases to profitability. [5]

Wage inflation is structurally embedded via minimum wage adjustments. The 2026 National Minimum Wage is R30.23/hour. [23] *PE relevance:* franchisee viability becomes the binding constraint; value creation must include labour productivity, scheduling tech, menu simplification and format optimisation (drive-thru, smaller footprints).

Delivery platform fee structures and regulatory remedies create economic uncertainty. OIPMI findings focus on commission fees, transparency and competitive restrictions; the Commission identifies Uber Eats and Mr D as dominant and discusses commission fee differentials and consumer surcharges. [15] *PE relevance:* delivery channel margins can swing; a buyer must underwrite "direct ordering" capability and negotiate platform terms at scale.

Commodity and input volatility (including coffee) affects category economics. Famous Brands identifies coffee as a key inflation driver due to supply disruptions, and describes procurement strategy implications. [39] *PE relevance:* hedging/procurement competence and menu price architecture become core levers; premium coffee concepts may require tighter pricing discipline.

Tailwinds (facts + why they matter to a PE owner)

Load shedding reduction in 2024 is a meaningful operating relief. CSIR reports actual load shedding decreased ~76% in 2024 compared to 2023. [21] *PE relevance:* improves store uptime and reduces diesel spend; creates a window to reinvest savings into digital and format upgrades rather than treating it as "permanent relief".

Disinflation and rate relief are directionally supportive. Stats SA reports headline inflation at 3.5% in January 2026 with food inflation 4.4%; SARB shows repo at 6.75% as at mid-March 2026. [51] *PE relevance:* potential to stabilise discretionary spend; strengthens the case for selective re-acceleration of store openings where unit economics are robust.

Measured growth is concentrating in takeaway/fast-food. Stats SA shows takeaway and fast-food outlets grew 9.4% year-on-year in the July–September 2025 real series and drove most of the total increase. [3] *PE relevance:* supports a portfolio tilt toward value QSR and delivery-ready formats; informs capital allocation away from marginal sit-down concepts.

PE and strategic activity

Facts (verifiable)
PE buy-and-build logic with heavy regulatory constraints: Burger King SA. The Burger King SA transaction illustrates SA's "public interest" merger control in practice. The Competition Commission prohibited the proposed acquisition between ECP Africa Fund and Burger King SA/Grand Foods on public interest grounds related to HDP shareholding impact. [52] The Competition Tribunal later approved the transaction with conditions, including (among others) capex of no less than R500 million, outlet expansion from 90 to at least 150, HDP employment commitments, and an employee share ownership programme. [26] The transaction was also publicly framed earlier (deal announcement) as a PE acquisition of the Burger King SA franchise. [53]

Strategic consolidation by listed peers: Spur's acquisition of Doppio Collection. Spur disclosed it concluded a binding agreement in July 2023 to acquire a 60% interest in Doppio Collection business units, reflecting portfolio expansion into premium casual/café formats. [11]

Platform-building investment by delivery players: Uber Eats township/dark kitchens. In August 2023, News24 reported Uber Eats partnering with Gauteng government, targeting township expansion and investing R200 million in township restaurant and dark kitchen development, with a stated goal of creating about 2,000 courier jobs over three years. [44]

Platform-building by convenience ecosystems: Mr D and Sixty60. Takealot Group positions Mr D as enabling 12,000+ local restaurants to reach 2 million customers. [54] Reuters reports Takealot is broadening Mr D toward a convenience marketplace and highlights competitive pressure from services including Checkers Sixty60 and Pick n Pay asap!. [55] Shoprite's own communications show Sixty60 launching in late 2019 and continuing to roll out across store formats. [29]

Inferences (what this signals for valuation, appetite, exit options)
The Burger King transaction is the highest-signal PE precedent for South African QSR because it demonstrates that "standard" PE optimisation levers (tightening control, rapid rollout, supplier renegotiations) are **inseparable** from transformation, ownership spread and employment commitments. [19] For a Famous Brands take-private, this implies: (1) transaction structure and stakeholder strategy can be value-determining; (2) the PE playbook must incorporate credible "inclusive growth" commitments; (3) potential exits must consider which strategic buyers (local vs global) can clear the same regulatory bar.

Meanwhile, listed peers investing in portfolio expansion (Spur) and platforms investing directly in supply creation (Uber Eats dark kitchens) suggest a multi-front competitive escalation: consolidation and format expansion will continue even in low-growth macro conditions. [56]

Key risks and opportunities for a PE buyer

Risks (most material, decision-relevant)
- **Franchisee margin compression and closure risk** driven by wage increases, electricity tariffs, and delivery commissions, potentially accelerating weaker brand shakeouts if value engineering is insufficient. [57]
- **Portfolio barbell risk**: leading brands appear better aligned with takeaway growth while signature brands show contraction; misallocating capex toward structurally pressured concepts could destroy value. [58]
- **Delivery platform dependence risk**: concentrated platform power and regulatory remedies can

change unit economics quickly; platforms are also investing to deepen supply (dark kitchens), increasing competitive density. [59]
- **Execution-risk in supply chain advantage**: vertical integration is an advantage only if capacity, yields, and distribution economics remain best-in-class; energy/water shocks and insurance cost volatility can still impair returns. [5]
- **Regulatory and "public interest" risk** affecting transaction structure, governance and operating commitments (Burger King precedent). [19]

Opportunities (most material, value-creation levers)
- **Rebalance channel economics** by accelerating direct digital and fulfilment capability (apps, loyalty, aggregated call-centres, delivery hubs) to reduce platform take-rates and reclaim customer data. Famous Brands discloses delivery hubs and digital ordering infrastructure as strategic assets. [60]
- **Operational productivity programme** in restaurants (labour scheduling, kitchen simplification, menu rationalisation) to absorb minimum wage increases while preserving service levels. [61]
- **Supply chain margin expansion** through yield projects, procurement competence, and energy management (Famous Brands discloses improved manufacturing margin and reduced diesel costs during the year). [62]
- **Portfolio "fix or exit" discipline** for weaker signature brands: store rationalisation and concept refocusing could prevent capital drain, with reinvestment into faster-growing takeaway categories (aligned to Stats SA trend). [63]
- **Selective site expansion / format innovation** where the macro supports convenience: drive-thru, forecourt, small-footprint, delivery-optimised kitchens — in a market where takeaway continues to outgrow sit-down. [64]

Evidence table and open follow-ups

Evidence table

Claim	Evidence summary	Source	Source type	Support type	Confidence
Takeaway/ fast-food outlets are growing materially faster than restaurants/ cafes in real terms (mid-2025)	July–Sep 2025 (constant 2019 prices): takeaway/ fast-food +9.4% YoY vs restaurants/ cafes +1.4%; total +4.1% YoY	Stats SA "Food and beverages, September 2025"	Government / official statistics	Direct confirmation	High

Claim	Evidence summary	Source	Source type	Support type	Confidence
Famous Brands has 2,504 leading-brand restaurants and 122 signature-brand restaurants in South Africa (FY2025)	Famous Brands IAR 2025 pages explicitly disclose restaurant counts for leading and signature brands in South Africa	Famous Brands IAR 2025, “Leading Brands” and “Signature Brands” pages	Company filing / investor reporting	Direct confirmation	High
Famous Brands’ Supply Chain segments are material and disclosed with segment economics	IAR 2025 supply chain page discloses segment revenue, operating profit and commentary on drivers	Famous Brands IAR 2025, “Supply Chain performance”	Company filing / investor reporting	Direct confirmation	High
KFC has 1,157 units in South Africa (2024), majority franchised/ licensed	Yum! Brands unit table row: South Africa = 51 company + 1,106 franchise/ license = 1,157	Yum! Brands “Q4-24 Website Data” PDF	Company filing / investor reporting	Direct confirmation	High
McDonald’s has 401 restaurants in South Africa at year-end 2024 (377 in 2023)	McDonald’s “Restaurants by Market 2024” schedule lists South Africa 401 (2024) and 377 (2023)	McDonald’s Corp, “Restaurants by Market 2024” PDF	Company filing / investor reporting	Direct confirmation	High

Claim	Evidence summary	Source	Source type	Support type	Confidence
Spur has 701 outlets across South Africa and 14 countries at 30 June 2024 and discloses brand-by-brand counts	Spur summary consolidated financial statements state 701 outlets and provide brand tables (Spur, Panarottis, RocoMamas, etc)	Spur Corp Summary Consolidated Financial Statements 2024	Company filing / investor reporting	Direct confirmation	High
Spur acquired a 60% interest in Doppio Collection in July 2023	Spur disclosures describe the acquisition transaction and timing	Spur Corp Summary Consolidated Financial Statements 2024, Note on acquisition	Company filing / investor reporting	Direct confirmation	High
Uber Eats and Mr D Food collectively hold >90% share in food delivery platforms	Competition Commission OIPMI chapter states Uber Eats and Mr D jointly hold more than 90% market share	Competition Commission OIPMI ("Chapter 6 – Food Delivery")	Regulator	Direct confirmation	High
The Competition Commission required delivery platforms to improve transparency and addresses commission fee structures	OIPMI final report and decision discusses commission fees and consumer transparency; official publication exists	Competition Commission OIPMI final report	Regulator	Direct confirmation	High

Claim	Evidence summary	Source	Source type	Support type	Confidence
Uber Eats invested R200m in township restaurant and dark-kitchen development and targeted 2,000 courier jobs	News24 reports the initiative with stated investment and job targets and links it to Commission scrutiny	News24, 4 August 2023, “dark kitchen push in Soweto”	Established business press	Contextual support	Medium
Burger King SA PE acquisition shows “public interest” conditions including expansion from 90 to 150 outlets and ESOP	Competition Tribunal summary lists explicit conditions: capex ≥R500m; outlets 90→150; ESOP 5% interest	Competition Tribunal press release, 1 October 2021	Government / tribunal	Direct confirmation	High
Electricity tariffs for 2024/25 increased by ~12.7%	Eskom tariff booklet lists percentage increases for local authority and direct customers	Eskom “Tariffs & Charges Booklet 2024/2025”	Government-linked utility publication	Direct confirmation	High
Load shedding fell materially in 2024 vs 2023	CSIR utility-scale generation report summary states ~76% decrease in 2024 vs 2023	CSIR Utility Statistics Report (Jan 2025 publication of 2024 stats)	Government research body	Direct confirmation	High
National Minimum Wage increased to R30.23/hour for 2026	Government Gazette schedule and Employment and Labour announcement confirm the rate	Government Gazette 3 February 2026; Dept of Employment and Labour statement	Government / regulator	Direct confirmation	High

Claim	Evidence summary	Source	Source type	Support type	Confidence
Repo rate is 6.75% in March 2026	SARB key statistics show repo rate 6.75 with date	SARB "Current Market Rates"	Central bank	Direct confirmation	High

Sources used above (citations): 65

Open questions and manual follow-ups

- **Franchisee economics by brand (investment-critical):** average store EBITDA, cash conversion, payback, closure rates, and royalty/supply-chain burden by concept (leading vs signature). Public disclosures are insufficient; must be diligence-verified.
- **Channel mix and delivery profitability:** share of sales by dine-in / takeaway / drive-thru / delivery, and split of delivery between own channels vs platforms; quantify commission impact and consumer surcharge elasticity in practice (especially under OIPMI remedies). 50
- **Current verified store counts for private competitors:** Nando's, Chicken Licken, and current Burger King SA footprint (post-2021) need independent confirmation; public counts were inconsistent or not accessible in primary sources reviewed. 66
- **Competitive pricing and promo intensity mapping:** build a current price index by core product (burger, chicken meal, pizza) across major competitors in key metros; assess how quickly price increases can be passed through in a low inflation environment with rising wages and tariffs. 67
- **Supply chain capacity and third-party sales potential:** confirm plant utilisation, logistics route density, and optionality to monetise supply-chain capability beyond franchise networks without diluting service levels. 5
- **Regulatory path for a take-private:** stakeholder mapping and "public interest" strategy (ownership spread, ESOP, procurement and employment commitments) informed by Burger King precedent; confirm with advisers how recent enforcement trends affect timing and conditions. 19

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